

09 Sep 2026 13:25:19 ET | 13 pages

Corning Incorporated (GLW.N)

Citi Tech Conference Takeaways – Datacenter Infrastructure Demand Continues to Reinforce Company Confidence

CITI'S TAKE

We hosted Corning's Ed Schlesinger - EVP & CFO at Citi's 2026 Global TMT conference today and recap takeaways below.

Demand Outlook — Demand is tracking positive, led by Optical, Carrier, and Solar. Display remains solid, supported by high panel-maker utilization, while Corning expects to outperform the handheld units market through higher content per device. Advanced Optics remains a multiyear growth opportunity, while automotive demand is muted despite a modest recovery in North American heavy-duty markets.

Updated Outlook — Corning expects to reach the \$20B annualized sales run rate in Q3, **one quarter early**. Q4 sales should increase sequentially, with high-teens y/y growth continuing through Q4 and into 2027. Corning did not update its \$30B/\$40B Springboard targets, but recent customer agreements provide greater confidence in their springboard targets.

Verizon — The multi-year, multi-billion-dollar Verizon agreement covers more than 80M miles of high-density optical fiber and connectivity solutions from 2027 through 2032. The deployment will support broadband expansion and long-haul data-center interconnect, building on Corning's 30-year relationship with Verizon. Combined with Lumen and Zayo, the agreement should allow Corning to reach its prior \$1B annual DCI target **sooner than the end of the decade**, with potential to exceed that level.

Optical Capacity — Corning has been adding cable and connectivity capacity sequentially and is committed to increasing U.S. fiber production by more than 50%. **For Corning, fiber is not currently a constraint**, but Corning expects demand to tighten availability and is adding capacity proactively. Connectivity capacity is also expanding to support continued Scale-Out growth and increasingly advanced customer-specific solutions.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2025A	0.54A	0.60A	0.67A	0.72A	2.54A	2.52A	2.54A
2026E	0.70A	0.78A	0.87E	0.92E	3.26E	3.28E	3.28E
Previous	0.70A	0.78A	0.87E	0.92E	3.26E	na	na
2027E	0.88E	1.04E	1.16E	1.26E	4.34E	4.32E	4.44E
Previous	0.88E	1.04E	1.16E	1.26E	4.34E	na	na
2028E	1.46E	1.70E	1.83E	2.04E	7.03E	5.87E	6.15E
Previous	1.46E	1.70E	1.83E	2.04E	7.03E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click [here](#) for Visible Alpha consensus data

Buy

Price (08 Sep 26 16:00)	US\$165.96
Target price	US\$220.00
Expected share price return	32.6%
Expected dividend yield	0.7%
Expected total return	33.2%
Market Cap	US\$142,956M

Price Performance (RIC: GLW.N, BB: GLW US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Profitability — Corning expects EPS to continue growing faster than sales and operating margin to remain at or above 20%. Margin expansion is supported by better utilization of existing capacity, a richer mix of higher-value Optical and advanced-material products, operating leverage, and value-based pricing. Corning reached its prior 20% margin objective faster than expected, with further upside dependent on new-product mix and capacity utilization.

Scale-Out/Scale-Up — Scale-out should remain a notable Optical growth driver through 2027, as larger clusters require additional network layers and more fiber. Scale-Up and Photonics should become more meaningful from late 2027 into 2028-2030 and represent the larger long-term upside. The eventual opportunity could materially exceed \$10B if optical connectivity penetrates extensively inside AI systems, but architecture and adoption timing remain the key variables.

AI Optical Demand — AI-related Optical demand remains strong, supported by rising orders, increasing token consumption, expanding customer AI revenue, and higher expectations for accelerator and data-center deployments. Customers are providing long-term commitments and funding capacity additions, improving visibility. Corning is managing deployment risk by staging capacity rather than building the full footprint upfront.

Photonics — Corning is targeting a \$10B Photonics opportunity by the end of the decade from essentially no sales today, with initial revenue potentially beginning in 2027. The largest remaining requirement is scaling the co-packaged and near-package optics supply chain, including both Corning components and externally sourced inputs as the necessary industry scale is early stage.

Long-term Agreements — Long-term agreements with the various customers are evolving Optical toward a franchise-relationship model similar to Corning's longstanding Apple partnership. Customer funding, purchase commitments, and phased capacity additions improve visibility and protect returns. Corning also serves neoclouds and Tier 2 hyperscalers, providing diversification.

Solar — Solar demand and market conditions continue to improve, supported by domestic policy and regulatory measures that provide greater pricing support. Corning is optimizing polysilicon operations while adding wafer and module capacity, which should increase revenue and reduce the initial cost drag from underutilized infrastructure as more production comes online. Solar is expected to reach at or above corporate-average profitability by the end of 2027.

Apple — Corning continues to deepen its franchise relationship with Apple by developing higher-value materials for new devices, allowing content growth to outpace relatively low smartphone unit growth. U.S.-based production provides an additional strategic advantage as customers and domestic policy prioritize domestic supply. The same materials expertise also supports opportunities in semiconductor substrates, equipment, and other advanced-glass applications.

Cash Flow — Free cash flow should continue growing over time, potentially in line with earnings, despite elevated investment in Optical and other Springboard opportunities. Quarterly cash flow may remain uneven because customer deposits and capital spending can occur in different periods. Prepayments and long-term

customer commitments improve investment certainty and help fund capacity, while Optical connectivity requires fewer capital dollars per sales dollar than some of Corning's other businesses.

Corning Incorporated

Company description

Corning, Inc. develops and manufactures specialty glass and ceramics. The company provides glass for notebook computers, flat panel desktop monitors, LCD televisions, and other information display applications; optical fiber and cable and hardware and equipment products for the telecommunications industry; ceramic substrates for gasoline and diesel engines in automotive and heavy duty vehicle markets; laboratory products for the scientific community and specialized polymer products for biotechnology applications; advanced optical materials for the semiconductor industry and the scientific community; and other technologies. Corning operates in six reportable segments: Optical Communications (32%), Display (27%), Specialty Materials (14%), Automotive (12%), Life Sciences (7%), and Hemlock and Emerging Growth Businesses (8%). The company manufactures products at 124 plants in 15 countries. The company was incorporated in 1936 and is headquartered in Corning, New York.

Investment strategy

We rate Corning a Buy. We believe the company remains well positioned for secular growth and cyclical demand recovery across its various segments. We have greater conviction in margin expansion targets following recent Display price increases, amidst a more balanced to tight supply-demand environment, as well as improved optical segment results driven by AI as enterprises continue to scale out while carriers continue to scale up their networks. We also believe that the momentum in AI benefits Corning's business as higher margins should drive improved FCF generation and working capital improvements with continued shareholder purchases. Additionally, with 34 domestic manufacturing facilities, we note Corning's domestic manufacturing footprint as a strategic advantage, enabling them to serve the increased domestic demand from major partners such as Apple. As markets recover, we expect these initiatives will drive operating income expansion ahead.

Valuation

We derive our \$220 target price based on applying a ~32x P/E multiple to our CY28 EPS discounted by a year. Given multiyear AI infrastructure build cycles and improving optical capacity and higher visibility, we now anchor valuation to 2028E earnings which better reflects structural demand. Our target multiples are higher than the stock's median multiples over the past five years (but in line with peers), reflective of the current secular dynamics in Corning's end markets. On EV/EBITDA, our target price is equivalent to applying a ~27x EV/EBITDA multiple to our NTM EBITDA 1 year from today.

Risks

Risks that could impact our target price include: 1) LCD glass market fundamentals, potentially resulting from global TV demand or average TV screen size varying negatively from expectations; 2) Corning's Optical

Communications business growth differs from what we expect; 3) Recession risk continues to temper demand; 4) Yen and other foreign currency volatility; and 5) Varying capital expenditures to support the company’s numerous growth initiatives and business partners.

The impact from the above could be worse than expected, resulting in the share price failing to achieve our target price.

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Appendix A-1

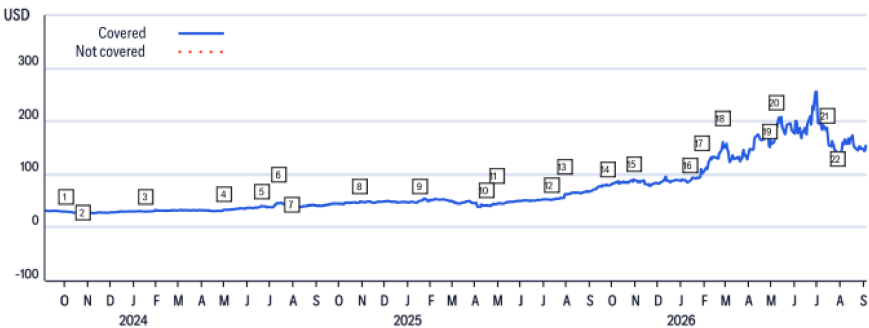
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Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



Date	Rating	Target Price	Closing Price
1 02-Oct-23 17:00:00	1	*39.00	30.21
2 25-Oct-23 04:30:42	1	*36.00	26.78
3 17-Jan-24 04:00:00	1	*35.00	29.85
4 01-May-24 06:23:57	1	*38.00	33.48
5 20-Jun-24 18:08:44	1	*45.00	39.85
6 12-Jul-24 03:00:00	1	*51.00	45.62
7 30-Jul-24 19:17:03	1	*50.00	39.74
8 29-Oct-24 17:38:11	1	*55.00	49.03

Date	Rating	Target Price	Closing Price
9 20-Jan-25 22:32:20	1	*58.00	49.84
10 14-Apr-25 05:00:00	1	*50.00	41.61
11 29-Apr-25 16:15:30	1	*52.00	44.46
12 11-Jul-25 03:00:00	1	*60.00	51.60
13 29-Jul-25 15:18:08	1	*72.00	61.98
14 23-Sep-25 18:23:16	1	*93.00	81.00
15 29-Oct-25 00:34:13	1	*99.00	90.29
16 12-Jan-26 05:00:00	1	*102.00	87.88

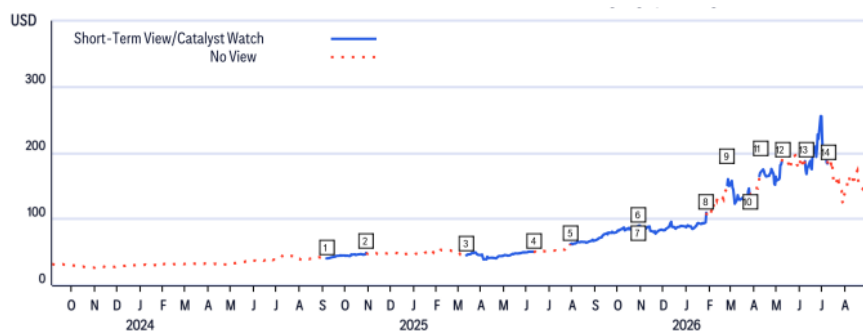
Date	Rating	Target Price	Closing Price
17 28-Jan-26 20:50:30	1	*120.00	104.28
18 24-Feb-26 19:04:05	1	*170.00	151.59
19 28-Apr-26 21:11:01	1	*175.00	153.05
20 06-May-26 18:20:27	1	*225.00	181.57
21 13-Jul-26 03:42:28	1	*240.00	183.11
22 28-Jul-26 15:28:38	1	*220.00	126.01

*Indicates Change

Rating/target price changes above reflect Eastern Time

Corning Incorporated (GLW)
Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Sep-24 02:38:14	Add CW	Upside	90 Days	40.84
2	29-Oct-24 13:38:11	Remove CW	Upside	90 Days	49.03
3	12-Mar-25 18:00:00	Add CW	Upside	90 Days	45.40
4	10-Jun-25 12:05:51	Remove CW	Upside	90 Days	50.61
5	29-Jul-25 11:18:08	Add STV	Upside	90 Days	61.98
6	27-Oct-25 12:20:08	Remove STV	Upside	90 Days	89.37
7	28-Oct-25 20:34:13	Add STV	Upside	90 Days	86.43
8	27-Jan-26 11:11:49	Remove STV	Upside	90 Days	109.74
9	24-Feb-26 14:04:05	Add CW	Upside	30 Days	151.59
10	26-Mar-26 15:33:22	Remove CW	Upside	30 Days	135.32
11	08-Apr-26 03:03:35	Add STV	Upside	30 Days	165.10
12	08-May-26 12:13:20	Remove STV	Upside	30 Days	186.94
13	08-Jun-26 05:43:30	Add STV	Upside	30 Days	187.54
14	08-Jul-26 12:21:29	Remove STV	Upside	30 Days	184.03

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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